

SUBBU KOVAI

LINGESWARI ARIVARASU, 43

Coimbatore

INVESTING IN STOCKS SINCE 2003

INITIAL INVESTMENT Rs 10 lakh

CURRENT PORTFOLIO VALUE Rs 50 lakh

WHAT I DO WHEN MARKET FALLS I sold almost 60 per cent of my holdings recently.

WHAT I LEARNT Knowledge of the type of fund you are buying, the fund house and its investment philosophy is necessary.

“Being a teacher, I can tell you that stock market learning is a continuous process.”

who have followed the stock markets because they are interested in the big picture as well as the details. He says: “India is a new global economic power and everyone should invest and take advantage of the guaranteed prosperity.”

You don't need to have as much interest in macroeconomic movements. To make money on the stock market, you are going to need patience, practice, skills, experience and education. It is vital to research the companies you are planning to invest in and find out everything you can about them. Check how a company has been performing over the past few years, not just how it is performing right now, when you want to invest.

THE RISE AFTER THE FALL

- Between May 18 and 22, 2006, Sensex lost 1,736 points (from 12,217 to 10,481), but recovered back to 12,000 level in September.
- Later the same year, Sensex tumbled 942 points between December 5 and 12, but rebounded to levels close to 14,000 in January 2007.
- On February 7 this year, a slide in share price started that took 2,213 points off the Sensex (14,643 to 12,430) by mid-March. By July, the index had climbed to 15,000.
- Between October 15 and 19, the fall in Sensex was 1,499 points. If the fall was quicker, so was the recovery by October 26.



REVISIT YOUR INVESTMENTS PERIODICALLY

Once you have invested in a sector or company, you can't leave your portfolio to sink or swim. You will have to review it regularly and ensure that your investments are working. Conduct a routine check on all the components of your portfolio, and if necessary, rebalance your investments. Got too much in equities? Sell some and put the money into debt funds or even fixed deposits. Otherwise you're letting the market dictate what risk you're taking. For instance, the 50 per cent equity exposure that you might have had three years ago can make

your portfolio skewed today. Thanks to market movement and growth, that exposure could have grown to 70 per cent. Are you prepared to live with that level of risk or would you rather move towards slightly less risky avenues? Rebalancing doesn't have to be difficult. To bring your portfolio in line with your risk profile, you've got to sell some high-flying stocks and invest the proceeds in less risky instruments. However, do not rebalance frequently unless your investment goals are rapidly changing or your risk appetite has changed.

Made good profits on stocks of Reliance Energy

Excerpted from **Money Today** cover story "Keep Smiling"

For more on stock investment, read **Money Today** issue dated November 15

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